

Shift perspective

We discussed earlier several ways to conduct perspective-shifting thought experiments. It's worth reiterating that you should occasionally return to first principles and reexamine your belief systems.

In the 1990s and 2000s, I kept track of various real estate data (probably because my mom was a real estate agent). Most of Wall Street was not. By 2005, it became obvious that something was very wrong. Had I not been exploring economic data from a different perspective, I would have missed the coming crisis, just like everyone else.

Seeing the world from a slightly different angle can provide enormous insights.

Emotional awareness

We have seen many ways emotions impact our thinking and our behavior.

When we become aware that we may be looking at things in an excited manner, we have a chance to overcome errors. However much we may seek this sort of self-awareness, emotions can trip us up.

Rudyard Kipling advised his son:

If you can keep your head when all about you
Are losing theirs and blaming it on you,
If you can trust yourself when all men doubt you,
But make allowance for their doubting too;
Yours is the Earth and everything that's in it!

That's good advice for all of us...



In our first three sections of the book, we reviewed the bad ideas, numbers, and behaviors that hurt all investors.